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Market Report – Web3 Trading and Investment Division

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Abstract—Welcome to the first Market Report from the Web3 Trading and Investment Division. We aim to detail key macroeconomic developments, market-moving headlines, and crypto-specific positioning, and translate them into actionable portfolio implications. Overall, sentiment is medium-term risk off and short term neutral; sentiments are a reflection of recent market movements with highlighted macro uncertainty, inflation sensitivity, and geopolitical risk as the dominant drivers of short-term volatility.

1. MARKET NEWS

This week was driven by a combination of institutional credibility concerns, inflation sensitivity, and a renewed geopolitical risk premium feeding through to commodities and broader risk assets.

- **Attack on the Federal Reserve** → U.S. DoJ (instructed by D.Trump), launched a federal investigation into J.Powell over recent refurbishments of FED HQ. J.Powell highlighted in a press conference that this was an attempt to influence the FED's policy decisions. This attack adds to concerns around sovereignty, institutional credibility, and spillover risk into rates expectations and broader risk premia.
- **Inflation data released** → Inflation came in at 2.7% staying constant MoM. This does not aid J.Powell's policy path causing further uncertainty and has direct implications on real yields. Markets rallied on this news.
- **Venezuela, Iran, and Greenland tensions** → emerging "mineral wars" narrative, increasing oil sensitivity and second-round inflation concerns with knock-on effects for risk-on assets. Sparks Geo-political concern, positive developments for hard assets.
- BTC / crypto-specific headlines:
  - **Senate crypto bills:** Bills are being drafted to define crypto market rules providing greater legal clarity.
  - **JPM Coin developments:** signalling bank-led settlement rails and institutional adoption.
  - **Z-Cash developer departures:** highlighting idiosyncratic project and sustainability risk.
  - **October 2025:** approval for financial planners at Morgan Stanley to suggest digital assets, supporting longer-term adoption under compliance constraints.

2. MARKET DEVELOPMENTS

2.1. Price action and breadth

Price action has been mixed, with elevated volatility across risk assets. Amid recent uncertainty, markets have been rallying and ignoring the fears of AI Bubbles and FED attacks. Crypto markets have shown uneven performance, with BTC and ETH leading the market and select altcoins such as XMR materially outperforming on a relative basis, reaching all-time high's.

- 7/30D Price change: **BTC:** [5.5% / 8.8%] **ETH:** [6.8% / 11.1 %] **Top 20 index:** [4.4% / 10.7%]
- Standout performance: XMR rallied strongly, likely driven by Privacy Coin focus and Z-Cash dev team exiting.

2.2. Macro backdrop

The macro backdrop continues to be the primary transmission channel driving market behaviour. Elevated inflation sensitivity and shifting expectations around monetary policy have directly impacted risk-on assets through real yields and global liquidity conditions.

- **Unemployment:** 4.4% - Unemployment has been on a gradual and consistent uptick since 2023
- **CPI:** 2.7% - Remained constant from November, however, still relatively hot compared to 2% target.

The inflation data and unemployment data are making the FED's dual mandate path far more difficult. Powell has consistently signalled a desire to avoid a 1970s-style run-away inflation, favouring sustained tightness over premature easing.

2.3. Open interest and CME futures

Leverage conditions remain an important determinant of short-term market dynamics. Current open interest and CME futures positioning indicate moderate leverage, increasing the probability of accelerated directional moves.

- Open interest levels have risen 12% since January reaching $62 Billion.
- BTC Weighted OI Funding Rate is 0.0050%
- The market is modestly long, leverage is present but not stressed, and positioning looks orderly rather than euphoric.

2.4. Key levels and sentiment

Technical reference points continue to anchor short-term flows and hedging behaviour.

- **Key support:** $93,000 **Key resistance**: $98,000
- **Base case:** prices are expected to hover within the $93,000–$98,000 range until a catalyst drives a breakout, either to the upside or downside. Max upside extension we see is around $102,000.
- Fear & Greed Index: [50], indicating neutral.

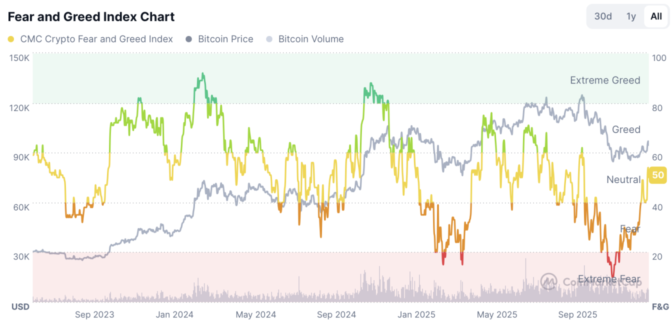

Figure 1. Fear & Greed Index at 50 : 16/01/2026

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3. W3T MARKET ANALYSIS

3.1. Trend and regime: Bearish Blues

The balance of evidence suggests a bearish mid-term regime to neutral short-term regime, characterised by weakening trend structure and topping-out signals.

- The break below the 50-day moving average is historically consistent with the start of a crypto bear-market, particularly when confirmed by 2 weekly closes, as highlighted in Figure 2. The bottoming out range tends to sit around the 200W SMA, which currently sits at around $56,000 - corresponding to an approximate %50 drop.
- Base case: BTC remains in a downward trend until approximately $60,000, where stronger structural demand is expected to emerge. This draw-down accounts for diminishing volatility on the basis of institutional adoption. We also expect the duration of the draw-down to be shorter given greater adoption.

Figure 2. 50D and 200W SMA indicating Bear Market and Bottom Range

3.2. Macro-Economic Market Analysis

We compare the current BTC price action with prior periods operating under similar macroeconomic conditions. While history does not repeat, it often rhymes.

- The present macro backdrop, characterised by elevated interest rates alongside quantitative tightening, has only occurred once during BTC's history, in 2019. As illustrated in Figure 3, the red vertical line denotes our estimate of the market's current position within this macro regime. In 2019, the conclusion of QT and subsequent reductions in interest rates coincided with a relatively muted BTC drawdown of approximately 50%. Importantly, the transition from tightening to easing did not immediately trigger an uptrend; instead, it preceded a shorter-term drawdown phase.
- This historical analogue aligns with the broader thesis that BTC tends to peak in Q4 of the post-halving year, followed by a comparatively shallow drawdown, potentially moderated in the current cycle by increased institutional participation

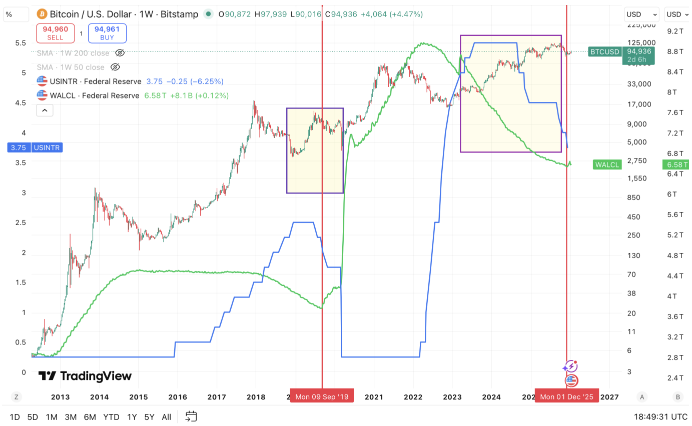

Figure 3. 2019 and 2026 Macro Comparison

4. MOVING FORWARD FOR W3T PORTFOLIO

4.1. Our closing thoughts

The macro environment remains constrained, with rising unemployment risks alongside persistently elevated inflation. This creates a difficult policy trade-off for the Federal Reserve.

- The preferred policy outcome is a mild recession that suppresses inflation and preserves long-term credibility, rather than risking runaway inflation.
- We believe policy remains tight until at least the end of Powell's term, after which conditions may allow for a more durable uptrend. He will not like to back down to trump, nor be the cause of inflation prior to his term ending.
- A sustained bull market in risk assets likely requires interest rates to move below neutral and liquidity conditions to materially improve. The netural rate, being the 2Y US Treasury yield sits at 3.5%. The US IR is at 3.75%.
- We believe the start of QE is when the environment becomes more ALT coin appropriate and we will remain BTC heavy until then.

4.2. Deployment plan

Given prevailing bearish sentiment, capital deployment will remain disciplined and level-driven.

- Strategic deployment levels identified at $83,000, $75,000, and $67,000.
- Institutional participation is expected to dampen draw-down severity relative to prior cycles. Aligns with 2019 comparison as well.
- We estimate a peak-to-trough BTC drawdown of approximately 40–50% from ATH, implying downside toward roughly $67,000. This coincides with the last bull-run's ATH.
- Execution approach: scale into positions, avoid leverage, and size exposures according to prevailing volatility.

5. REFERENCES

- Open Interest Data: https://www.coinglass.com/FundingRate
- Charts: Made by Leon Godtfredsen
- CPI and Unemployment Data: https://tradingeconomics.com
- Price Action: https://coinmarketcap.com
- Market News: Reuters, Economist and JP Morgan

Thank You for your time. Feed back and constructive criticism are always appreciated.